Why Do Central Banks Need Autonomy?

Perhaps we should establish some basics here before getting into specifics. The issue of central bank autonomy typically arises in the context of its monetary policy function. Why is it important that a central bank have autonomy in setting the monetary policy? The principal aim of monetary policy is to preserve price stability by maintaining low and steady inflation consistent with the economy's potential growth rate. This requires taking a long-term view even if the path to price stability might entail some short-term pain. But political regimes, especially democracies, have little tolerance for such pain; electoral politics push them into compromising long-term sustainability for short-term expediency. This is where an autonomous central bank comes in. The hope and expectation is that an autonomous central bank, insulated from political pressures, will ensure that long-term macroeconomic stability is not held hostage to short-term compulsions.

In addition to being the monetary authority, the Reserve Bank is also a regulator. It regulates banks, non-banking financial companies, segments of the financial markets, and the payment and settlement systems. The theory of regulatory autonomy is now well established and I will not go into details here except to say that regulatory autonomy is critical to inspiring entrepreneurial impulses and investor confidence in the economy.

The Reserve Bank has other responsibilities too beyond monetary policy and regulation. It manages the external sector, prints and distributes currency, is the banker to the Central and state governments and to commercial banks, and has important responsibilities in furthering financial inclusion and economic development. There is no issue of autonomy on these other functions; the Reserve Bank works in consultation and coordination with the government.